

Foundations & Indian Market Microstructure

Part of The Complete Indian Market Trader — Zero to Professional (India, 2026)

Pro-grade, India-first: NSE/BSE, F&O, worked ₹ examples, current 2026 rules

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The Indian Market Map: NSE, BSE, SEBI, Segments & Indices

Why this matters

Retail traders often "know" Nifty and Bank Nifty but have never mentally drawn the *map* — who runs the exchange, who regulates it, where their money actually settles, and which segment their trade lives in. That gap shows up in real losses: placing an equity intraday order thinking it's F&O, holding a stock future into expiry not knowing it's cash-settled or physically delivered, or being surprised that a "market" is shut when MCX is still open at 9 PM. A professional treats the market as a single connected machine — order routing, clearing, depository, regulator — and knows exactly which gear turns when. This chapter draws that machine so every later chapter (instruments, orders, costs, tax) snaps into place.

The essentials

The two big exchanges. India has two national stock exchanges:

- **NSE (National Stock Exchange)** — dominant in derivatives; Nifty 50 is its flagship. The vast majority of F&O volume is NSE.
- **BSE (Bombay Stock Exchange)** — Asia's oldest (1875); Sensex is its flagship. BSE has clawed back real derivatives volume since ~2023 via Sensex and Bankex weekly options.

Both are electronic, order-driven (no floor). You can buy a stock on NSE and sell the same ISIN on BSE — shares are fungible because they sit in the same demat account.

The regulator: SEBI. The Securities and Exchange Board of India is the statutory regulator (SEBI Act, 1992). It licenses brokers, sets margin and disclosure rules, runs investor protection, and enforces the algo framework. When this book says "rules change — verify on SEBI," this is who changes them.

Clearing & depositories. Your trade doesn't end at the match:

- **Clearing corporations** (NSE Clearing / NSCCL, and Indian Clearing Corp for BSE) become the central counterparty and guarantee settlement.
- **Depositories NSDL and CDSL** hold your shares electronically. Your broker opens a **demat** account mapped to one of them. Delivery shares move here on settlement.

Settlement cycle (as of 2026 — verify on NSE, rules change). Equity cash is **T+1 rolling** — buy today, shares/cash settle next working day. A **T+0** (same-day) optional settlement is in beta rollout for a select list of stocks; it runs alongside, not instead of, T+1.

Segments. One trading account, several segments you must be enabled for:

Segment	What trades	Where	Typical hours (IST)
Equity cash	Shares (delivery/intraday)	NSE/BSE	9:15–15:30
Equity F&O	Index & stock futures/options	NSE/BSE	9:15–15:30
Currency derivatives	USDINR, EURINR etc. futures/options	NSE/BSE	9:00–17:00
Commodity	Gold, silver, crude, natgas etc.	MCX (NCDEX agri)	9:00–23:30 (approx)

Trading day structure (equity, IST):

- **Pre-open 9:00–9:15** — 9:00–9:08 order entry, 9:08–9:12 call-auction price discovery, then a buffer to 9:15. This sets the opening price (important on gap days).
- **Continuous 9:15–15:30** — normal price-time matching.
- **Post-close 15:40–16:00** — orders at the closing price (thin, mostly ignored by traders).

Key indices you'll actually trade or watch:

Index	What it is	Note
Nifty 50	50 large NSE stocks, free-float weighted	The India benchmark
Bank Nifty	12 major banks	Most-traded, high-beta, volatile
Fin Nifty (Nifty Financial Services)	Banks + NBFCs + insurance	Broader financials
Nifty Midcap Select	Midcap basket	F&O available
Sensex	30 BSE blue-chips	BSE benchmark, weekly options
Bankex	BSE banking index	BSE derivative
Sectorals	Nifty IT, Auto, Pharma, FMCG, Metal, Energy	Rotation & relative strength

(Verify current weekly-expiry structure on NSE/BSE — SEBI trimmed the number of weekly expiries per exchange, so which index expires which weekday changes; check the exchange calendar.)

Worked example

You want to trade a Bank Nifty view on a Tuesday. Mentally trace the machine:

1. **Segment:** Equity F&O on NSE. Your account must be F&O-enabled (income proof was required at activation).
2. **Instrument:** Say Bank Nifty weekly option (verify current lot size on NSE — index lot sizes were revised upward in 2024–25; do not assume 15 or 25). Suppose the lot is 35 and you buy 1 lot of the 52,000 CE at ₹300. Contract premium value = $300 \times 35 = \text{₹}10,500$ plus charges.
3. **Match:** Your limit order hits NSE's order book; NSE Clearing becomes counterparty — you never face the seller directly.
4. **Money:** Upfront SPAN+Exposure margin was blocked when you *sold* options; as a buyer you pay full premium upfront. Funds move via your broker to the clearing corp.
5. **Settlement:** Index options are **cash-settled** — no shares, no demat delivery. On expiry you get intrinsic value in cash; NSDL/CDSL never touch it.

Contrast: buy 10 shares of a stock for delivery — now CDSL/NSDL *do* get involved, shares land in demat on **T+1**, and you can pledge or sell them thereafter.

How pros do it / common mistakes

- **Pros know the segment before the trade.** They never confuse "I'm long the index" (F&O, cash-settled) with "I own bank shares" (cash, demat, T+1).

- **They respect the pre-open.** On event/gap mornings the 9:00–9:08 window sets the open; retail traders who fire a market order at 9:15:00 often get a terrible fill into the opening imbalance.
- **They check the expiry calendar weekly.** Weekly-expiry weekdays shifted after SEBI's 2024–25 rationalisation; trading "Thursday expiry" out of habit is now a real error.
- **Classic mistakes:** assuming all commodities close at 3:30 (MCX runs into the night); thinking NSE and BSE prices must be identical (small arbitrage gaps exist); forgetting stock futures can go to **physical delivery** at expiry if held.
- **Red flag:** any "exchange" or app not routing through NSE/BSE/MCX with SEBI-registered brokers — that's a dabba/illegal operator.

Checklist / drill

Before any trade, answer these in five seconds:

- ☐ Which **exchange** — NSE / BSE / MCX?
- ☐ Which **segment** — cash / F&O / currency / commodity?
- ☐ **Cash-settled or delivery?** If delivery, is my demat ready and do I want T+1?
- ☐ Is the market **open** for this segment right now (equity 9:15–15:30; MCX late)?
- ☐ For F&O: correct **lot size** and **expiry weekday** verified on the exchange today?

Drill: open Kite (or your terminal), and for Nifty 50, Bank Nifty, one stock future, USDINR, and MCX Gold, write down the exchange, segment, settlement type, and current lot size. Verify every number on the NSE/BSE/MCX site — do not trust memory. Rules and lot sizes change; date-stamp your notes (today: 2026).

Instruments & How They Trade

Why this matters

The single fastest way to blow up as an Indian retail trader is to pick the wrong *instrument* for your edge. A swing trader who has a genuine three-week view but expresses it in weekly options watches theta eat him alive. A scalper who wants tight spreads trades an illiquid midcap future and pays the spread every round trip. A "conservative" investor buys a stock future for leverage and gets a physical-delivery obligation at expiry he can't fund. Your options book taught you *how options are priced*; your TA guide taught you *when* to trade. Neither told you which vehicle — cash, future, option, ETF, currency, commodity — actually matches your holding period, capital, and risk. This chapter is the vehicle selection guide, India-specific, with the mechanics that trip people up: lot sizes, ticks, expiry cycles, and settlement.

The essentials

Equity (cash segment). Buying the share itself.

- **Delivery:** shares hit your demat on **T+1** (2026); you own them, can hold forever, pledge, or collect dividends. STT from 01-Apr-2026 (Budget 2026): **0.1% on buy and sell** (verify on NSE/broker — rules change).
- **Intraday (MIS):** buy and sell same day; broker gives limited leverage per SEBI (no unlimited intraday leverage since 2021). STT **0.025% on the sell side** only. Nothing enters demat.
- Tick size typically ₹0.05; no lot — trade 1 share up.

Index futures. One contract = index level × lot size. Cash-settled at expiry, no delivery.

- Monthly expiry (last Thursday-type schedule — **verify current expiry weekday on NSE**, it changed in 2024–25); three serial months live.
- Leverage via SPAN+Exposure margin (upfront, peak-margin enforced).

Stock futures. Same idea on single stocks — **but physically settled** at expiry if held: long means you must take delivery and pay full value; short means you must deliver shares. Most traders square off before expiry to avoid this.

Options (index & stock). Covered deeply in your options book — here only the *plumbing*: index options cash-settled; STT ~**0.15% on premium (sell side)** and on exercise (2026, verify); weekly and monthly expiries on index, monthly on most stocks. SEBI trimmed weekly expiries to essentially one per exchange in 2024–25 — check the calendar.

ETFs. Exchange-traded funds (Niftybees, Bankbees, Goldbees, Liquidbees) trade like shares in the cash segment, settle **T+1** to demat, taxed like equity/other depending on type. Great for delivery exposure without picking single stocks; watch for tracking error and thin spreads on smaller ETFs.

Currency derivatives. USDINR, EURINR, GBPINR, JPYINR futures & options on NSE/BSE, 9:00–17:00. Small contract sizes (USDINR future = \$1,000). Cash-settled in rupees. CTT does not apply; STT structure differs — verify.

MCX commodities. Gold, Silver, Crude Oil, Natural Gas, base metals; trades ~9:00 to ~23:30 tracking global markets. Futures and options. **CTT ~0.01% on sell side** (non-agri futures, 2026, verify). Contracts can be large (a full Gold lot is 1 kg — huge notional); use mini/micro variants.

Comparison table

Instrument	Segment	Lot/min size	Settlement	Leverage	Best for
Equity delivery	Cash	1 share	T+1 demat	MTF only	Investors, positional
Equity intraday (MIS)	Cash	1 share	Same day, no demat	Broker intraday limit	Day traders
Index future	F&O	index × lot	Cash, monthly	SPAN margin	Directional swing/positional
Stock future	F&O	stock × lot	Physical if held	SPAN margin	Directional; square off pre-expiry
Options	F&O	index/stock × lot	Cash (index)	Premium/margin	See options book
ETF	Cash	1 unit	T+1 demat	MTF only	Passive/basket exposure
Currency future	Currency	\$1,000 (USDINR)	Cash ₹	High	FX view, hedging
MCX commodity	Commodity	varies (Gold 1kg)	Cash/delivery	High	Commodity view

(All numbers 2026 — verify lot sizes on NSE/BSE/MCX; index lot sizes were revised upward and change periodically.)

Worked example

You have a bullish 3-week view on a large private bank, ₹1,00,000 capital, willing to risk ₹8,000.

- **Cash delivery:** at ₹1,600/share you buy ~62 shares (₹99,200). No expiry, no theta, you can hold 3 weeks or 3 years. STT 0.1% each side ≈ ₹99 buy + ₹99 sell, plus other charges. Downside: no leverage; a 5% move = ₹5,000.
- **Stock future:** say lot 500 (verify), notional = $500 \times 1,600 = \text{₹8,00,000}$; margin maybe ~₹1,20,000 — *more than your capital*. Too big; and if you forget to exit, you face **physical delivery** of ₹8 lakh of shares. Wrong vehicle here.
- **Weekly option:** a 3-week view across a weekly expiry means you cross an expiry and re-enter, paying spread and theta twice; a monthly option is cleaner but that's your options book's domain.

Verdict: for this holding period and capital, **cash delivery** (or a monthly call from the options book) fits; the stock future's lot size makes it unsuitable. Matching instrument to view and capital is the trade.

How pros do it / common mistakes

- **Pros size to the lot, not the other way round.** Before falling in love with a stock future, they compute notional = price × lot and margin; if it dwarfs their capital, they drop to cash or options.
- **They never hold stock futures into expiry casually** — physical delivery has burned many retail accounts (forced to fund lakhs, or auction penalties on short delivery).
- **They match holding period to decay:** multi-week view → cash/futures/monthly options, not weeklies.

- **Classic mistakes:** trading illiquid stock F&O with wide spreads; buying tiny ETFs with 1–2% bid-ask; treating MCX Gold's 1 kg lot as "just gold" and taking on ₹70+ lakh notional; ignoring that currency and commodity have their own timings and margins.
- **Red flag:** picking an instrument because "leverage is high" rather than because it fits the view.

Checklist / drill

- ☐ What's my **holding period** — minutes, days, weeks?
- ☐ **Notional = price × lot** — can my capital carry it?
- ☐ **Settlement:** cash or physical/demat? Any delivery risk at expiry?
- ☐ **Liquidity:** tight spread and real depth in *this* contract?
- ☐ **Costs & tax** for this instrument (STT/CTT differ) — verified for 2026?

Drill: take one trade idea and price it three ways — cash, future, option — writing lot size, notional, margin, per-side STT, and expiry for each (verify all on NSE/MCX). Then justify in one sentence why one vehicle wins for your period and capital.

Order Types & Execution

Why this matters

Two traders can have the identical view and identical instrument and still get opposite P&L — because one fired a market order into a thin option and paid ₹4 of slippage per lot, while the other worked a limit and got filled at his price. Execution is not an afterthought; on the intraday and options timeframes where retail Indians actually trade, the *order type* is often the difference between a strategy that clears costs and one that bleeds. Your TA book told you where to enter. This chapter is how to *actually get there* on Zerodha Kite and similar terminals: every order type, its current status in 2026 (SEBI/exchanges have discontinued some), and when a pro reaches for each. Get this wrong and even a good signal loses money to slippage and rejected orders.

The essentials

Market order. Fills immediately at the best available price(s), walking the book if size exceeds top-of-book. Guarantees *fill*, not *price*. Deadly in illiquid options and at the open/close. On very liquid instruments (Nifty near-month, index futures) it's fine for small size.

Limit order. Fills only at your price or better. Guarantees *price*, not *fill* — it may sit unfilled or partially fill. The default professional tool. A buy limit *below* LTP waits; a buy limit *at/above* the ask executes marketable-limit style (fills up to your cap, protecting against runaway slippage).

Stop-loss orders. Triggered orders that stay dormant until price hits your trigger:

- **SL (stop-loss limit):** trigger price + limit price. On trigger it sends a *limit* order. Risk: in a fast move price gaps past your limit and you're **not filled** — the stop fails to protect.
- **SL-M (stop-loss market):** trigger only; on trigger it sends a *market* order — near-guaranteed exit. **Note:** SL-M is **disabled for options** on Indian exchanges (has been for years, to curb freak trades); use SL with a wide limit for option stops. Verify current status on your broker — rules change.

GTT (Good-Till-Triggered). A broker-side (not exchange) instruction that watches price for up to ~1 year and places the order when hit. Great for delivery entries/exits and target/stop on positional trades. It is *not* a resting exchange order — it only fires when the trigger is met, and single/OCO (one-cancels-other) variants exist.

AMO (After-Market Order). Placed when the market is closed (roughly after 3:30 PM to before pre-open next day); queued and released into the next session (often at/after pre-open). Useful for people who can't watch the 9:15 open — but you take opening-price risk.

Iceberg / disclosed quantity. Splits a large order into smaller visible legs so you don't reveal full size and don't get front-run. Kite's "iceberg" slices one big order into a chosen number of legs. Disclosed quantity (DQ) shows only part of your resting limit in the depth. Exchange minimums apply.

Bracket & Cover orders (current status — verify). SEBI/exchanges **discontinued Bracket Orders (BO) and Cover Orders (CO)** for most cases around 2020 during margin reforms; some brokers offer limited CO. Do **not** build a strategy assuming BO/CO exists — confirm on your broker in 2026. The modern equivalent is a normal entry plus a **GTT/SL** for target and stop, or the broker's basket/OCO feature.

IOC vs Day (validity).

- **Day:** rests until end of session, then cancels if unfilled.
- **IOC (Immediate-or-Cancel):** fills whatever it can *instantly*, cancels the rest — no resting. Used by fast traders to avoid leaving a stale order in the book.

Worked example

Bank Nifty weekly 52,000 CE, LTP ₹300, quotes: bid ₹299.5 / ask ₹300.5, lot 35 (verify lot on NSE — it changes). You want long.

- **Market buy 1 lot:** you lift the ask and possibly walk up — say average ₹300.8. Cost = $300.8 \times 35 = ₹10,528$. You paid ~₹0.3–1.0 of slippage over LTP: on 35 qty that's ₹10–35 gone before the trade even breathes.
- **Limit buy at ₹300.0:** you may get filled if an offer drops to 300, or you wait. If the market ticks up without you, you miss — but you never overpay. On a scalp where edge is ₹8–10, this discipline is the trade.
- **Stop:** you decide to exit if premium hits ₹250. SL-M is *blocked for options*, so you place an **SL** with trigger ₹252 and limit ₹245 (wide enough to fill in a fast drop). If you'd set the limit at ₹250 exactly and it gapped to ₹244, you'd sit unfilled and bleed.
- **Target via GTT:** set a single GTT sell at ₹360 so you don't babysit the screen.

Entry on Kite: select instrument → Buy → Quantity 35 → Product NRML/MIS → Order type LIMIT → Price 300 → Validity DAY → place. For the stop, a second order: Sell → SL → trigger 252 → limit 245.

How pros do it / common mistakes

- **Default to limit; use market only in deep liquidity for small size.** In options and midcaps, market orders are a slippage tax.
- **Use marketable limits** (buy limit a tick or two above ask) to get near-instant fills *with* a price cap — best of both.
- **Know your stop's failure mode:** SL (limit) can miss in a gap; on options where SL-M is banned, set the limit generously below the trigger.
- **Don't assume BO/CO exist** — build target/stop with GTT/SL. Verify order-type availability on your broker for 2026; SEBI changes these.
- **Classic mistakes:** market order at 9:15:00 into the opening imbalance; SL-limit set at the exact trigger (never fills in fast moves); forgetting AMO releases at the *open* (gap risk); leaving a fat resting limit that gets front-run instead of using iceberg/DQ.
- **Red flag:** repeated "order rejected — SL-M not allowed" means you're using the wrong stop type for options.

Checklist / drill

- ☐ Liquidity check: is the **spread** tight enough that a market order is safe? If not, **limit**.
- ☐ Chosen **stop type** correct for the segment (no SL-M on options)?
- ☐ Stop **limit set wide** enough to fill in a fast move?
- ☐ Target/stop placed as **GTT/OCO** so I'm not glued to the screen?
- ☐ **Validity** right — Day vs IOC — for my intent?

- ☐ For big size: **iceberg/DQ** to avoid showing my hand?

Drill: on paper (or a tiny 1-lot live), place the same entry three ways — market, limit-at-LTP, marketable-limit — and record actual fill price vs LTP for each across five trades. Tally the slippage. You will see, in rupees, why pros live on limits. (Costs/rules 2026 — verify on your broker; they change.)

The Order Book, DOM & Matching Engine

Why this matters

Most retail traders watch a single number — the Last Traded Price — and imagine that's "the price." It isn't. Behind the LTP sits an order book: a live ledger of every resting buy and sell, stacked by price. The exchange's matching engine turns that book into fills using a rigid, public rule — **price-time priority**. Traders who can't read the book place limit orders that never fill, get shocked by slippage, mistake spoofed size for real support, and misjudge how much they can trade without moving price. Your TA book reads the *chart*; this chapter reads the *tape and depth* — the microstructure one level below the candle. On intraday and options timeframes, where the edge is thin, reading the DOM (Depth of Market) is a genuine pro skill that separates disciplined execution from donating to the spread.

The essentials

Bid, ask, spread.

- **Bid** = highest price a buyer will pay right now.
- **Ask (offer)** = lowest price a seller will accept.
- **Spread** = ask – bid. To buy immediately you pay the ask; to sell immediately you hit the bid. The spread is a real, recurring cost — cross it twice per round trip.
- **LTP** = the price of the *last completed trade* — historical, between bid and ask. A rising LTP with buys lifting the ask is different from a rising LTP on one stale print.

Market depth (Level-2 / 20-depth). Indian exchanges publish the best five price levels on each side by default (Level-2). NSE also offers a **20-depth** feed showing 20 levels each side — pros use it to see size deeper in the book. Each row shows price, quantity, and (sometimes) number of orders.

The matching engine — price-time priority. Continuous auction. Rules:

1. **Price priority:** a better-priced order matches first (higher bid / lower ask).
2. **Time priority:** at the *same* price, the order entered *earlier* fills first (FIFO queue).

So a limit order joins the back of the queue at its price. A market/marketable order consumes the opposite side from the best price outward until filled. This is why a limit *at* the bid may sit forever behind a huge queue, while a limit *at* the ask fills instantly.

How a fill happens. When an incoming buy's price $\geq$ resting sell's price, they match at the **resting order's price** (passive order sets the price). Large incoming orders "walk the book," filling successive levels at worse prices — that's slippage, and the DOM lets you *estimate it before you click*.

Iceberg / hidden size. Some resting size is disclosed-quantity or iceberg: only a slice shows; as it fills, a fresh slice reappears at the same price. On the DOM this looks like a level that *keeps refilling* no matter how much trades through it — a clue that a big, patient player is there.

Worked example — a depth snapshot

Nifty near-month future, tick ₹0.05, lot per current NSE spec (verify). Snapshot:

Bids (buy)	Qty		Asks (sell)	Qty
24,600.00	1,800		24,600.15	900
24,599.95	2,400		24,600.20	1,500
24,599.90	3,100		24,600.30	2,200
24,599.85	1,200		24,600.40	1,700

- **Spread** = 24,600.15 – 24,600.00 = **₹0.15** (3 ticks) — reasonably tight.
- **Market buy 900:** lifts the ₹24,600.15 ask exactly (900 available) → fill at 24,600.15. No walk.
- **Market buy 2,000:** takes 900 @ 24,600.15, then 1,100 @ 24,600.20. Average $\approx$ 24,600.18 — you slipped $\sim$ ₹0.03 past the touch. On a bigger order you'd walk further.
- **Limit buy 500 @ 24,600.00:** joins the *back* of the 1,800 already queued at the top bid. 1,800 ahead of you must trade first before you fill — you may wait, or the market moves away and you miss.
- **Reading intent:** the ₹24,599.90 level keeps refilling to $\sim$ 3,100 after prints go through it — likely iceberg/large buyer; a possible short-term floor. But size can be pulled (spoof-like) — never treat displayed depth as a guarantee.

Estimating impact before clicking: sum ask quantities until they cover your order; the last price you touch is your worst fill. That's your pre-trade slippage estimate — a habit that saves real rupees.

How pros do it / common mistakes

- **Pros read the spread and depth before choosing order type.** Tight spread + deep book → market for small size is fine. Wide spread + thin book → work a limit.
- **They estimate walk-the-book slippage** from the DOM for their size, especially in options where a 5-lot market order can jump two strikes' worth of ticks.
- **They watch the queue.** Joining a huge queue at the bid means low fill odds; a marketable limit jumps ahead at a tiny cost.
- **They treat displayed size skeptically.** Depth can be pulled in milliseconds; refilling levels *may* be real icebergs *or* bait. Confirm with the tape (actual prints), not just resting quotes.
- **Classic mistakes:** trading off LTP alone and ignoring the spread; placing a limit at the touch and assuming instant fill (you're behind the queue); reading a big single-level bid as guaranteed support; sizing a market order without checking how many levels it will eat.
- **Red flag:** in illiquid options, a 5-level DOM with tiny quantities and ₹2+ spreads — any market order there is a self-inflicted loss.

Checklist / drill

- ☐ Note the **spread** (ask – bid) before every order — is it acceptable vs my edge?
- ☐ For my size, **sum the opposite-side depth** — how many levels will I walk?
- ☐ If placing a limit at the touch, **how big is the queue ahead** of me?
- ☐ Is a refilling level a real **iceberg** or spoof? Confirm on the tape.
- ☐ Thin/wide DOM → switch from market to **limit**.

Drill: open the 20-depth (or Level-2) on Nifty future and one illiquid stock option side by side for 10 minutes. For a hypothetical 3-lot market order on each, compute the expected average fill by walking the visible asks; note the spread. Compare the two instruments' impact cost in rupees. Repeat until estimating slippage from the DOM is automatic. (Market data/specs 2026 — verify lot and depth feed on NSE/your broker; rules change.)

Liquidity, Spread, Slippage & Impact Cost

Why this matters

Most retail traders obsess over entry signals and ignore the tax that liquidity charges on every fill. That tax — the bid-ask spread, slippage on size, and impact cost — is invisible on a chart but very real in your P&L. A 40-tick edge means nothing if crossing the spread and moving the book costs you 15 ticks a round-turn. Pros treat liquidity as a first-class variable: they size to the book, not the other way around. The single biggest silent killer of retail option accounts is not being wrong on direction — it is trading illiquid strikes where the spread alone is 3–8% of premium, so you start every trade down several percent before the market has moved. This chapter closes the gap between "I bought it" and "I bought it at a price that leaves an edge."

The essentials

Bid, ask, spread, LTP. The *bid* is the best price a buyer will pay; the *ask* (offer) is the best price a seller will accept. The gap is the *spread*. The *Last Traded Price (LTP)* is history — it tells you where the last trade printed, not where you can trade now. A market buy lifts the ask; a market sell hits the bid. If you only ever look at LTP, you will consistently be surprised by your fills.

Depth (Market-By-Price). Kite and most terminals show a 5- or 20-level depth window: quantity resting at each of the top five bids and five asks. Deep, evenly stacked book = liquid. A book where level 1 has 50 lots and level 2 gaps 3 rupees away = thin. Nifty and Bank Nifty near-the-money weekly options and the index futures are the deepest instruments on NSE; far OTM strikes, weekly options on single stocks, and illiquid cash stocks are where spreads explode.

Volume vs Open Interest. Volume is contracts traded today; OI is contracts outstanding. High volume = easy to get in and out. Low volume with wide spread = a trap.

Impact Cost (NSE publishes this). NSE literally computes and publishes *impact cost* per stock — the percentage cost of executing a defined order size (₹1 lakh for the Nifty basket) against the book, measured versus the mid-price. A stock qualifies for the Nifty 50 partly on having impact cost consistently under ~0.50%. Reliance or HDFC Bank might show impact cost of 0.02–0.05%; a small-cap might show 0.5–2%. This is the cleanest public liquidity metric in the Indian market — use it.

VWAP / TWAP. Volume-Weighted and Time-Weighted Average Price. Institutions benchmark their fills against VWAP; if you must trade size, slicing the order over time (TWAP) or along volume (VWAP) reduces impact versus one market order that eats five levels.

Circuit limits / price bands. NSE/BSE apply daily price bands (2%, 5%, 10%, 20%) on many cash stocks; F&O stocks and indices have dynamic bands and index-level market-wide circuit breakers (10%/15%/20% halt Nifty/Sensex). When a stock is stuck at upper/lower circuit there is *no* opposite-side liquidity — you cannot exit. Illiquid + circuit = trapped.

(Rules as of July 2026 — verify on NSE/broker/SEBI; bands and lot sizes change.)

Worked example — the cost of crossing the spread

Take a **Bank Nifty weekly option**, lot size **15** (verify current lot on NSE — it has changed repeatedly). Say the 52000 CE shows:

- Bid ₹208.00 (qty 12 lots) / Ask ₹210.50 (qty 9 lots). LTP ₹209.
- Spread = ₹2.50, i.e. ~1.2% of premium.

You buy 5 lots at market → filled at ₹210.50. To exit immediately at market you hit ₹208.00. Round-turn spread cost = $₹2.50 \times 15 \times 5 = \text{₹187.50}$, before a single charge and before the market moves. Add STT (~0.15% on sell premium, from 01-Apr-2026 — verify), exchange txn, SEBI, GST, stamp — realistically another ₹120–160. So you are down roughly **₹300+** the instant you're in, on 5 lots.

Now compare a **far OTM weekly** strike: bid ₹4.20 / ask ₹5.10. Spread ₹0.90 on a ₹4.65 mid = **~19%**. To break even the option must rise 19% just to cover the spread. This is why cheap OTM lottery tickets bleed: the spread eats you alive on entry and exit.

Contrast an **illiquid cash stock**: bid ₹742 (30 shares) / ask ₹749 (25 shares), spread ~0.9%. Buy 500 shares and you walk up through four levels — average fill ₹753, not ₹749. That extra ₹4 × 500 = **₹2,000 of slippage** from your own size. NSE's published impact cost for that stock would have warned you it was thin.

How pros do it / common mistakes

Pros: - Trade the **most liquid strike/instrument** that expresses the view — ATM/near-ATM index options, index futures — and avoid strikes with <1–2% spread. - Use **limit orders at or inside the spread**, not market orders, unless speed is worth the tax. - **Size to the book**: if level-1 ask has 9 lots, don't send 40 lots market. - Check **NSE impact cost / average daily volume** before trading any cash name. - Avoid the **first 1–2 minutes (9:15–9:17)** and the last minutes — spreads are widest and quotes gappy at the open.

Retail mistakes: - Reading **LTP as if it's a tradeable price**. - Buying **deep-OTM options** where the spread is 10–25% of premium. - **Market orders on thin instruments**, then blaming the broker for a bad fill. - Ignoring **circuit limits** and getting trapped with no exit. - Averaging into an illiquid stock, then being unable to sell size without collapsing the price.

Checklist / drill

Before any order, verify: - ☐ Spread as a **% of price** (options: <2% near ATM; stocks: check NSE impact cost). - ☐ **Depth at levels 1–3** covers my order size. - ☐ **Avg daily volume** supports my intended size (rule of thumb: your order <1–2% of ADV). - ☐ Not stuck near a **circuit band**; two-sided quotes exist. - ☐ **Limit vs market** decided deliberately; market only when speed > cost.

Drill: For one week, before every trade, screenshot the depth window and record (a) mid-price, (b) your actual fill, (c) the round-turn spread cost in rupees. Sum it Friday. That number is your liquidity tax — most retail traders are shocked how large it is, and it changes which instruments you trade forever.

Brokers, Margins & the Full Cost Stack

Why this matters

The retail trader picks a broker on brokerage alone — "₹20 flat, cheapest" — and never models the *full* cost stack that actually decides whether a strategy is viable. Brokerage is often the *smallest* line. STT, exchange transaction charges, SEBI fees, GST on brokerage-plus-charges, and stamp duty stack on top, and for intraday and options they can dwarf the ₹20. Pros know their exact round-turn cost per instrument and their **breakeven in ticks/points** before they place a trade — because a scalping edge of 3 points on Nifty futures is pure fantasy once you subtract 1.5–2 points of frictional cost per round-turn. This chapter turns "cheap broker" into a precise per-trade breakeven number.

The essentials

Discount vs full-service. *Discount* brokers (Zerodha, Groww, Upstox, Dhan, Angel) charge flat/zero brokerage, no advice, do-it-yourself platforms (Kite, etc.). *Full-service* (ICICI Direct, HDFC Securities, Kotak) bundle research, RMs, and 3-in-1 accounts but charge percentage brokerage — often 0.3–0.5% on delivery, which is 15–25× a discount broker. For a self-directed trader the discount model wins on cost; full-service suits those who want bundled banking/advice.

The accounts. You need a **trading account** (with the broker, to place orders) and a **demat account** (with a Depository Participant, holding shares in electronic form at NSDL or CDSL). Discount brokers bundle both. Delivery shares sit in demat; F&O and intraday don't touch demat (no delivery).

Margins (F&O). SEBI mandates **upfront margin = SPAN + Exposure**. SPAN is the exchange's risk-based margin for the worst-case move in your position; Exposure is an additional buffer. **Peak-margin** rules are fully enforced (as of 2026): the clearing corporation snapshots your margin at random intra-day points, and short-margin attracts penalty. There is **no more excessive intraday leverage** — brokers cannot give you 20× on options selling; you post full SPAN+Exposure upfront. **MTF (Margin Trading Facility)** lets you buy *delivery* equity with part payment, broker funds the rest at interest (~12–18% p.a.).

The charge stack (per trade). Every trade carries: 1. **Brokerage** — flat (e.g. ₹20 or 0.03%, whichever lower) intraday/F&O; often ₹0 delivery on discount brokers. 2. **STT (Securities Transaction Tax)** — segment-specific (below). 3. **Exchange transaction charge** — NSE/BSE per-segment, small %. 4. **SEBI turnover fee** — ₹10 per crore. 5. **GST** — **18%** on (brokerage + exchange txn + SEBI). 6. **Stamp duty** — on buy side, state-set, small.

STT from 01-Apr-2026 (Budget 2026 — verify on NSE/broker/SEBI, rules change):

Segment	STT
Equity delivery	0.1% on buy and sell
Equity intraday	0.025% on sell only
Futures (equity/index)	~0.05% on sell
Options	~0.15% on premium (sell) and on exercise
Commodity non-agri futures (CTT)	~0.01% on sell

(Figures as of July 2026; STT/CTT and exchange rates are revised in Budgets — always reconfirm.)

Worked example — breakeven for intraday & F&O

A) Nifty Futures intraday, 1 lot (lot size 25 — verify current lot). Nifty at 24,600 → contract value = $24,600 \times 25 = \text{₹}6,15,000$. Buy and sell same value roughly. - Brokerage: ₹20 buy + ₹20 sell = ₹40 - STT (futures sell 0.05%): $0.0005 \times 6,15,000 = \text{₹}307.50$ - Exchange txn (~0.0019% NSE futures, verify): ~₹23 round-turn - SEBI (₹10/cr): ~₹1.2 - GST 18% on (₹40 + ₹23 + ₹1.2): ~₹11.5 - Stamp (~0.002% buy): ~₹12

Total ≈ ₹395 round-turn. On lot size 25, that's **₹395 / 25 ≈ 15.8 points** you must earn on Nifty *just to break even*. A "5-point scalp" is a guaranteed loser here. The dominant cost is STT, not brokerage.

B) Bank Nifty option buy, 5 lots (lot 15 — verify). Buy 52000 CE at ₹210, sell at ₹230. - Premium turnover sell = $230 \times 15 \times 5 = \text{₹}17,250$ - Brokerage: ₹20 + ₹20 = ₹40 - STT (options 0.15% on sell premium): $0.0015 \times 17,250 = \text{₹}25.9$ - Exchange txn (~0.05% on premium, NSE options — verify): buy $15,750 \times 0.0005 \approx \text{₹}7.9$ + sell $17,250 \times 0.0005 \approx \text{₹}8.6 = \text{₹}16.5$ - SEBI + GST + stamp: ~₹12 **Total ≈ ₹95**. Small in rupees, but on a cheap OTM strike bought at ₹5 with a wide spread, the *spread* (previous chapter) plus these charges can be 15–25% of premium — the real killer is spread, not this stack.

How pros do it / common mistakes

Pros: - Compute **round-turn cost in points/ticks** per instrument and demand an edge several times larger. - Prefer **index futures/near-ATM index options** where cost-per-rupee-exposure is lowest. - Track **peak-margin** headroom so they never take a penalty. - Use a broker's **charges calculator** (Zerodha's brokerage calculator, etc.) and reconcile against the **contract note** monthly.

Retail mistakes: - Choosing a broker on brokerage while ignoring the **STT/GST stack**. - **Over-trading** intraday — $30 \text{ round-turns/day} \times \text{₹}395 = \text{₹}11,850/\text{day}$ of pure cost on Nifty futures. - Scalping tiny edges that don't clear the **frictional breakeven**. - Getting **peak-margin penalties** from carrying under-margined positions. - Confusing MTF interest for "free leverage" — it compounds daily at 12–18%.

Checklist / drill

- ☐ I know my **round-turn cost in ₹ and in points/ticks** for this instrument.
- ☐ My expected edge is $\geq 3 \times$ **the frictional breakeven**.
- ☐ I have **SPAN + Exposure** upfront and peak-margin headroom.
- ☐ Delivery vs intraday vs F&O **STT rate** confirmed (2026 slabs).
- ☐ Monthly: reconcile **contract notes** vs a brokerage calculator.

Drill: Rebuild the two worked examples above with *today's* live lot sizes and NSE charge rates, then compute your personal breakeven in points for (i) Nifty fut, (ii) Bank Nifty ATM option. Pin that number to your screen. If a setup's target is below it, you don't take the trade.

Clearing, Settlement & Depositories

Why this matters

Retail traders think a trade ends the moment the order fills. It doesn't — it ends two business days later when money and shares actually change hands through a clearing corporation and a depository. Not understanding this plumbing is why traders get blindsided by **short-delivery auctions** (you sold shares you didn't have and got penalised), by **DP charges** appearing on sells, by **T+1 funds** not being withdrawable immediately, and by **POA/DDPI** authorisations they signed without reading. Pros understand settlement because it governs *when* they can redeploy capital, *why* certain BTST trades carry auction risk, and *how* their shares are actually held and pledged. This chapter is the market's back-office — invisible until it costs you.

The essentials

Rolling settlement — T+1 (as of 2026). Indian equities settle on a **T+1 rolling** basis: a trade done on Trade day (T) settles the **next business day**. Buyer's demat is credited and seller's bank is credited on T+1. India was the first major market to move fully to T+1 (completed Jan 2023). **T+0 (same-day) settlement** is live as an **optional beta** for a growing list of select stocks — you can opt in for same-day pay-in/pay-out; it runs alongside T+1, not replacing it. *(Status as of July 2026 — verify the current T+0 stock list and rollout on NSE/SEBI; it is expanding.)*

Clearing corporations. Between buyer and seller sits a **Clearing Corporation** that becomes the central counterparty (CCP) and guarantees settlement — you never face counterparty default risk directly. On NSE it is **NSE Clearing Ltd (NSCCL / NSE Clearing)**; on BSE it is **Indian Clearing Corporation Ltd (ICCL)**. They net obligations, collect margins, run the settlement guarantee fund, and manage the auction for short deliveries.

Depositories & DPs. Shares are held electronically (dematerialised) at one of two depositories — **NSDL** and **CDSL**. You don't deal with them directly; your broker is a **Depository Participant (DP)** — the interface to the depository. Your demat account lives at NSDL or CDSL via your DP.

Pay-in / pay-out. On the settlement day the CCP collects securities and funds (**pay-in**) from those who owe, and distributes (**pay-out**) to those due. For a delivery buy, cash pays in and shares pay out to your demat on T+1.

Short delivery & auction. If a seller fails to deliver shares on pay-in (sold intraday-style but couldn't cover, or a demat glitch), it's **short delivery**. The exchange conducts an **auction** to buy those shares in the market and deliver to the buyer; the defaulting seller pays the auction price plus penalty — which can be **well above** the sale price (auction price can be marked up). This is the hidden risk in **BTST** (Buy Today Sell Tomorrow): you sell on T+1 shares that haven't hit your demat yet — if your *purchase* was short-delivered, your sale short-delivers and you eat the auction penalty.

DP charges. A flat **DP charge** (typically ~₹13–20 + GST per scrip per day, CDSL/NSDL + broker) applies **on the sell/debit side** of delivery holdings — not on buys, not on intraday, not on F&O. Many traders are surprised to see it.

POA / DDPI. To let the broker debit shares from your demat when you sell, you historically signed a **Power of Attorney (POA)**. SEBI replaced this with the narrower **DDPI (Demat Debit and Pledge Instruction)** — it authorises *only* delivery-sell debits and margin pledge, not blanket access. Alternatively you can skip DDPI and authorise each sell via **CDSL TPIN/eDIS OTP**. Prefer DDPI over open-ended POA.

Worked example — a settlement timeline

You buy **100 shares of Reliance at ₹2,950** delivery on **Monday (T)**:

- **Monday (T)**: Order fills. ₹2,95,000 + charges is blocked. Trade sent to NSE Clearing; you have an *obligation*, not yet the shares.
- **Tuesday (T+1): Pay-in** — funds debited from your account to the CCP. **Pay-out** — 100 Reliance credited to your **CDSL/NSDL demat** via your DP, usually by evening. Now they're truly yours; you can pledge/withdraw.
- If instead you'd **sold** 100 Reliance held in demat on Monday: shares debited via **DDPI** on T+1 pay-in, **funds credited** to your bank/ledger on T+1 pay-out, minus a **DP charge** of ~₹18 + GST (one scrip, sell side).

Short-delivery case: You do **BTST** — buy Monday, sell Tuesday morning. But your Monday buy was **short-delivered** by the counter-party, so on Tuesday your demat is empty and your Tuesday sale can't deliver on Wednesday pay-in. The exchange **auctions** the shares Wednesday; if Reliance gapped up and auction clears at ₹3,050, you pay the **₹100/share difference + penalty** — a loss purely from settlement mechanics, not your view. (*Verify current auction/close-out rules on NSE — they change.*)

How pros do it / common mistakes

Pros: - Plan capital around **T+1 availability** — funds from a sell are usable per broker's ledger rules; don't assume instant bank withdrawal. - Treat **BTST as carrying auction risk** and avoid it on illiquid or recently-listed names where short delivery is common. - Use **DDPI or TPIN**, never a blanket POA; know exactly what they authorised. - Watch **DP charges** eroding small delivery trades — they make tiny share-count delivery scalps uneconomic. - Consider **T+0 opt-in** where available to free capital same day.

Retail mistakes: - Assuming a trade "ends" at fill and being shocked by **T+1** fund timing. - Doing **BTST** blind to **short-delivery/auction** penalties. - Signing an **open POA** giving broad demat access. - Ignoring **DP charges** on frequent small delivery sells. - Not knowing whether their demat is at **NSDL or CDSL** (matters for IPO/transfer/eDIS).

Checklist / drill

- ☐ I know my instrument's **settlement cycle** (T+1, or T+0 if opted in).
- ☐ For any **BTST**, I've accepted **auction/short-delivery risk**.
- ☐ I authorised sells via **DDPI/TPIN**, not blanket POA.
- ☐ I've accounted for **DP charges** on delivery sells.
- ☐ I know my **CCP (NSE Clearing/ICCL)** and **depository (NSDL/CDSL)**.

Drill: Take your last delivery buy and sell. On a timeline, write T, T+1, the exact pay-in/pay-out events, the DP charge on the sell, and when funds were actually withdrawable. Then look up whether any stock you trade is on the **T+0 beta list** and note how opting in would change your capital cycle.

Participants & Market Flows

Why this matters

Retail traders stare at price and imagine a faceless "market." Pros see *who* is on the other side. The Indian market is a contest between distinct participant classes — retail, HNIs, DIIs, FIIs/FPIs, prop desks, and market makers — each with different capital, horizon, and information. The daily FII/DII flow figures, delivery percentages, and bulk/block deal disclosures are published *for free*, and they tell you which pool of capital is buying or selling and with what conviction. Reading flow won't give you an entry signal, but it gives you **bias and context**: fighting a persistent FII sell wave in index futures, or ignoring that promoters/DIIs are absorbing a stock, is how retail ends up on the wrong side of the big money. This chapter teaches you to read the players.

The essentials

The participant classes:

Participant	Who	Horizon / behaviour
Retail	Individuals	Small size, sentiment-driven, dominant in options buying and small-caps
HNI / NRI	Wealthy individuals	Larger tickets, often via PMS; move mid/small-caps
DII	Domestic Institutions — mutual funds, insurers (LIC), pension, banks	Steady, valuation-driven, SIP-fuelled buying ; often absorb FII selling
FII / FPI	Foreign Portfolio Investors	Largest swing factor in large-caps & index; driven by global risk, USDINR, rates
Prop desks	Broker proprietary books	Short-horizon, arbitrage, high-frequency, liquidity provision
Market makers	Registered quote providers	Provide two-sided quotes in options/ETFs; earn the spread

FII/DII daily flow data. NSE, BSE, and every finance site publish **daily FII and DII net buy/sell** in the cash (equity) segment, plus **FII derivatives** data (index futures, index options, stock futures long/short). This is the single most-watched flow print in India. A day of "FII sold ₹4,200 cr, DII bought ₹3,800 cr" tells you foreign money is exiting large-caps while domestic SIP money absorbs it — a tug-of-war that often produces range-bound indices.

FII derivatives positioning. Beyond cash, watch **FII Long/Short ratio in index futures** and their **net index options** stance. A falling FII long-short ratio in index futures signals bearish positioning; a very low ratio (heavily short) can precede short-covering bounces. (*Read via NSE's participant-wise OI / the "FII Derivative Statistics" report — verify current format.*)

Delivery % vs intraday. For cash stocks, exchanges publish **deliverable quantity as a % of traded quantity**. High delivery % = buyers taking actual possession (investment/accumulation), stronger hands. Low delivery % with high volume = churn/intraday speculation, weaker signal. A breakout on **rising delivery %** is more trustworthy than one on pure intraday froth.

Bulk & block deals. SEBI mandates disclosure: - **Bulk deal** — a single client trades **>0.5% of a company's listed shares** in a day (across trades); disclosed post-market. - **Block deal** — large negotiated trades (minimum ₹10 crore) in a **separate block window** at the day's open. These reveal *named* big buyers/sellers — a marquee fund taking a stake, or a promoter/PE exiting. Recurring bulk buys by quality names = accumulation signal; large block exits = supply overhang.

Who moves what: FII dominate **Nifty large-caps, index futures, USDINR**; DII provide the **structural bid** via SIP inflows; retail dominates **weekly option buying and small-caps**; prop/market makers dominate **intraday liquidity and options spreads**. Knowing the dominant player in *your* instrument tells you whose behaviour to track.

Worked example — reading a day's flow

Suppose on a Tuesday: - **FII cash: -₹5,100 cr** (net sell). **DII cash: +₹4,600 cr** (net buy). - **FII index futures:** long-short ratio drops from 1.8 to 1.1 (adding shorts). - **Nifty:** flat, -0.2%, in a tight range. - **USDINR:** up (rupee weakening) — consistent with FII outflow.

Reading: Foreign money is de-risking large-caps and pressuring the rupee; domestic SIP money is absorbing the supply, capping the downside — hence the flat, coiled index. Bias: **range-bound with downside risk if DII buying tires**; a break *below* the range likely needs FII selling to continue, a break *above* likely needs FIIs to cover shorts (that low long-short ratio is fuel for a squeeze).

Now a **single stock:** XYZ Ltd rises 6% on **3× average volume** with **delivery % jumping from 35% to 62%**, and a **bulk-deal disclosure** shows a well-known mutual fund bought 0.8% of the company. **Reading:** this isn't intraday froth — real money took delivery, a named institution accumulated. Bias: constructive; pullbacks into the breakout zone are likely bought. Contrast: a 6% pop on **low delivery % and no institutional footprint** is more likely an operator-driven intraday move to fade.

How pros do it / common mistakes

Pros: - Treat FII/DII prints as **context, not a trigger** — bias for the day/week, sized with a real setup. - Watch **FII derivatives positioning** for squeeze/flush risk, not just cash flows. - Confirm breakouts with **rising delivery %** and, where possible, **bulk/block** footprints. - Know the **dominant participant** in their instrument and don't fight structural flows blindly. - Cross-check with **USDINR and global cues** — FII behaviour is often a currency/risk story.

Retail mistakes: - Using a **single day's** FII/DII figure as a buy/sell signal (it's noisy; look at the trend over days/weeks). - Ignoring **delivery %** and trusting volume alone. - Chasing a stock that popped on **low delivery / operator churn** with no institutional footprint. - Being **short into an FII short-covering squeeze** because they only watched cash, not derivatives positioning. - Forgetting that **retail is the crowd** — in weekly options, retail is usually the net *buyer* funding institutional/prop sellers, which is a core reason most option buyers lose.

Checklist / drill

- ☐ Today's **FII & DII cash** net, and the **multi-day trend** (not one print).
- ☐ **FII index-futures long-short** direction (squeeze/flush risk).
- ☐ For a stock: **delivery %** vs its average, and any **bulk/block** disclosure.

- ☐ The **dominant participant** in the instrument I'm trading.
- ☐ **USDINR / global risk** consistent with the flow story.

Drill: For two weeks, log daily FII cash, DII cash, and FII futures long-short ratio, alongside Nifty's close. At the end, mark days where flow and price agreed vs diverged. You'll build an intuition for when domestic buying is absorbing foreign selling (range) versus when both align (trend) — the difference between a market that grinds and one that runs.

Corporate Actions & Events That Move Prices

Why this matters

A corporate action is not a "news event" you react to — it is a mechanical, pre-scheduled change to the number of shares, the price, or the dividend. The exchange adjusts your position for you; the tape shows a price "gap" that isn't a real move. Retail traders lose money here in two silly ways: (1) they see a stock "crash" 50% on the ex-split date, panic, and sell into a non-event; or (2) they buy a stock *for* the dividend, not realising the price drops by exactly the dividend on the ex-date, and then pay tax on that dividend on top. Pros treat corporate actions as accounting, not alpha — but they *do* trade the second-order effects: the F&O ban list, index rebalancing flows, buyback tenders, and the volatility crush after results. This chapter covers the mechanics so you never get faked out, plus where the genuine edge lives.

(Rules and rates below are as of July 2026 — always verify on the NSE/BSE circular, your broker, and SEBI, because rules change.)

The essentials

Key dates. Every corporate action has: the **record date** (you must be a shareholder on the depository — NSDL/CDSL — books this day to be eligible) and the **ex-date** (the first day the stock trades *without* the entitlement). With T+1 settlement (2026), the ex-date and record date are usually the **same day** — buy on or after the ex-date and you are *not* eligible. To be eligible you must buy on or before the day *before* ex-date.

Action	What changes	Price effect on ex-date	F&O impact
Cash dividend	Company pays ₹X/share	Price drops ~₹X	Futures/strikes NOT adjusted for ordinary dividend; already priced in
Stock split	Face value cut (₹10→₹1), share count up	Price divides by ratio	Futures price & strikes adjusted by ratio; lot size scaled up
Bonus	Free shares (e.g. 1:1)	Price divides accordingly	Same — strikes/lot adjusted
Rights issue	Buy new shares at discount	Price drops toward ex-rights value	Adjusted via ratio factor
Buyback	Company repurchases shares	Support near buyback price	No direct F&O adjustment

Dividends and F&O. NSE does *not* adjust futures or option strikes for **ordinary** dividends — the market already discounts them, and futures trade at a slight discount reflecting expected dividends. But for an **extraordinary dividend** (defined as >2% of the stock's market price), NSE *does* adjust strikes and futures on the ex-date. Know which one you're facing.

Splits and bonuses are pure re-denomination — your wealth is unchanged. NSE issues an adjustment circular: the futures price, every option strike, and the lot size are all rescaled so your position value is identical before and after.

Results/earnings. Not a corporate action, but the biggest scheduled single-stock event. Implied volatility ramps into the result and **crushes** immediately after (the "IV crush") — this is why buying naked options into

results usually loses even when you guess direction right.

Index rebalancing. NSE reviews the Nifty 50 semi-annually. When a stock is added, index funds and ETFs must buy it (and sell the deleted one) at the close on the effective date — a large, forced, predictable flow.

F&O ban ("securities in ban period"). When the market-wide open interest in a stock's derivatives crosses **95% of the market-wide position limit (MWPL)**, the exchange bans *fresh* positions — you may only *reduce* existing ones. Entering a new position in a banned stock attracts a penalty. Ban lists are published daily by NSE after market hours.

F&O inclusion/exclusion. SEBI's criteria (median quarter-sigma order size, market-wide position limit $\geq$ ₹1,500 crore, average daily delivery value, etc., as revised 2024–25) decide which stocks have derivatives. Exclusion forces traders to unwind — a slow bleed of open interest.

Worked example — an ex-date adjustment on a bonus

Suppose **TATA-EX Ltd** (illustrative) trades at ₹2,400. Lot size 200 (contract value ₹4,80,000). The company declares a **1:1 bonus**, ex-date 20-Jul-2026. You hold **1 long futures lot** bought at ₹2,400.

On the ex-date NSE applies an adjustment factor of **2** (for 1:1, you get one extra share per share):

- **Adjusted futures price** = $\text{₹}2,400 / 2 = \text{₹}1,200$
- **Adjusted lot size** = $200 \times 2 = \text{400 shares}$
- **New contract value** = $\text{₹}1,200 \times 400 = \text{₹}4,80,000$ — identical.

Your P&L is untouched. The chart shows a "50% crash" from ₹2,400 to ₹1,200 — a data artifact, not a loss. Every option strike doubles in count and halves in price too: a ₹2,500 call becomes a ₹1,250 call with double the lots.

Dividend contrast. Now say instead the company pays an **ordinary dividend of ₹40** (1.7% of price — under the 2% threshold). Ex-date, the cash stock opens near **₹2,360** ($\text{₹}2,400 - \text{₹}40$). NSE does **not** adjust the futures or strikes — because the futures already traded ~₹40 cheaper than "spot minus carry" in anticipation. A retail trader who shorted the future the day before "to catch the ₹40 drop" captures **nothing** net of costs: on a ₹4,80,000 futures short, STT on futures (~0.05% on sell, from 01-Apr-2026) alone is ~₹240, plus exchange txn charges, GST, and stamp duty — the "free ₹40" was never free.

How pros do it / common mistakes

- **Never trade a dividend for the dividend.** Price drops by the payout and you pay tax on the dividend at slab rate. The classic retail "dividend capture" is a losing trade after STT and tax.
- **Don't panic on ex-split/ex-bonus gaps.** Confirm the NSE adjustment circular before assuming a real move. Your broker's average price should auto-adjust; if it doesn't, raise a ticket, don't sell.
- **Respect the F&O ban list.** Trying to enter a banned stock's futures/options gets rejected or penalised. Pros watch stocks *approaching* ban (85–95% MWPL) — entry into ban often marks a squeeze top or capitulation bottom because no fresh positions can be built.
- **Trade the rebalance flow, not the news.** Additions are usually leaked/anticipated; the real, mechanical buying is the closing auction on the effective date. Pros position ahead and exit into the forced flow.
- **Fear the IV crush, don't fight it.** Into results, option sellers (spreads, iron condors — from your options book) harvest the elevated IV; naked buyers usually donate it.

- **Buybacks:** a **tender-route** buyback at a premium to market has a defined **acceptance ratio** — retail shareholders get a reserved quota, often with high acceptance. This is a genuine, low-risk edge (buy in market, tender the reserved portion), but size it for the acceptance ratio, not 100% acceptance.

Checklist / drill

Before you trade any single stock this week, run this:

1. **Any corporate action pending?** Check the NSE "Corporate Actions" page — dividend, split, bonus, rights, buyback, ex-date.
2. **Is the ex-date within my holding window?** If yes, will the "gap" be adjusted (split/bonus) or real-but-priced (dividend)?
3. **Extraordinary dividend (>2%)?** If yes, expect strike/futures adjustment.
4. **On the F&O ban list today?** Check NSE's daily ban list *before* placing a derivatives order.
5. **Results date?** If within 5 trading days, assume elevated IV and plan for the post-result crush.
6. **Index review due?** Note effective dates for Nifty/Bank Nifty reconstitution.

Drill: Pull last quarter's NSE bonus/split circulars for any three stocks. For each, write the pre- and post-adjustment futures price, lot size, and contract value, and confirm the contract value is unchanged. Do it until the "crash that isn't a crash" never fools you again.

(All rates/thresholds as of July 2026 — verify on NSE/BSE circulars, SEBI, and your broker; rules change.)

Setting Up: Platforms, Charting & Data

Why this matters

The gap between a retail trader and a pro is often not strategy — it's **infrastructure and workflow**. Retail trades from a phone, on one screen, reacting to Twitter/Telegram tips, with no scanner, no alerts, and no idea of true costs. A pro has a clean, deliberate stack: an execution terminal, a charting layer, a scanner to find setups *before* they're obvious, official data (not forwarded screenshots), and alerts so they aren't glued to the screen making impulse trades. You do **not** need an expensive setup — India's ecosystem gives you a professional-grade stack for close to zero. What you need is the *discipline* of separating the four jobs — **execute, chart, scan, verify** — and not mixing them. This chapter builds that starter stack, India-first, and is honest about what's worth paying for and what isn't.

(Tools, plans, and prices below are as of July 2026 — verify current offerings with each provider; they change.)

The essentials

Think of your setup as four layers, each doing one job:

Layer	Job	India-first tools	Free vs paid
Execution	Place/manage orders, margins, positions	Zerodha Kite , Dhan, Upstox, Fyers, Angel One	Free platform; you pay brokerage + statutory charges
Charting	Analyse price, draw, indicators	TradingView , Kite charts, Fyers, GoCharting	Free tier works; paid = more indicators, multi-chart, alerts
Scanning	Find setups across 1,900+ stocks	Chartink , TradingView screener, Streak	Chartink free tier strong; paid for real-time/more scans
Data / verify	Official prices, option chain, filings	NSE India site , BSE site, NSDL/CDSL, broker feed	Free (official)

Execution — the broker terminal. Your broker (e.g. Kite) is where money actually moves. Learn its order types cold: **Market, Limit, SL (stop-loss limit), SL-M (stop-loss market)**, GTT (Good-Till-Triggered), and the margin/positions/funds tabs. Know that live order data on the terminal is your ground truth for fills. Note: under SEBI's **retail algo framework (mandatory 01-Apr-2026)**, open APIs are banned and any automated order needs an exchange **Algo-ID** via your registered broker — so "auto-buy" bots you find online are now non-compliant unless routed through a registered broker's approved API. Verify on SEBI/NSE circulars.

Charting — TradingView. The de-facto standard. Free tier: real-time-ish NSE data (with a small delay unless you take the paid real-time add-on), unlimited saved layouts, most indicators, one or two alerts. Paid tiers (Essential/Plus/Premium) unlock multiple charts per tab, more alerts, more indicators, and second-based intervals. For Indian data, connect via a supported broker (Zerodha, Dhan, Fyers, etc.) so you can also trade from the chart.

Scanning — Chartink. India's most-used free screener. You build a scan in plain conditions ("close crossed above 20 SMA and volume > 2× average") across NSE/BSE and get a live list. This is how you stop *hunting*

and start *filtering*. Paid tier adds real-time scanning and more saved scans.

Data / verify — the NSE site. For the **official option chain**, delivery %, market-wide position limits, F&O ban list, corporate actions, and circulars, go to the source: **nseindia.com**. Never trade off a forwarded screenshot; the free official data is more reliable than any paid "tip" channel.

Watchlists & alerts. Keep a *small* watchlist (say 15–25 names you actually understand: Nifty/Bank Nifty, a few index heavyweights, your sector focus). Set **price and indicator alerts** so you can step away — the single biggest edge of alerts is that they stop you from overtrading out of boredom.

A clean workstation. Two screens if you can (chart + terminal); a wired connection or reliable broadband; a backup — mobile hotspot and your broker's phone app and call-and-trade number saved, because internet *will* drop mid-position.

Worked example — a zero-to-₹0 starter stack

Priya has ₹2,00,000 to trade Nifty/Bank Nifty and a few large caps. Her starter stack, July 2026:

- **Broker:** Zerodha Kite — account opening free; she'll pay brokerage (₹20 or 0.03% per executed order, whichever lower, for intraday/F&O; **₹0 on equity delivery** at Zerodha) plus statutory charges. **Cost: ₹0 to set up.**
- **Charting:** TradingView **free** tier, connected to her Zerodha account. **Cost: ₹0.** She'll consider the paid plan only once she needs 4 charts + many alerts.
- **Scanner:** Chartink **free** — three saved scans: (1) breakout on volume, (2) 20/50 EMA pullback, (3) 52-week-high proximity. **Cost: ₹0.**
- **Data:** nseindia.com bookmarked — option chain, F&O ban list, corporate actions. **Cost: ₹0.**
- **Alerts:** 10 TradingView alerts on her watchlist levels. **Cost: ₹0.**

Total monthly software cost: ₹0. Now the honest part — the money leaves via *charges*, not subscriptions. One Bank Nifty option round trip (buy + sell, premium say ₹200 × lot 15 = ₹3,000 notional premium each way): brokerage ₹20 + ₹20 = ₹40; **STT ~0.15% on premium on the sell side** (from 01-Apr-2026) ≈ ₹4.5–9; plus exchange txn charge, **SEBI charge, 18% GST on (brokerage + txn), and stamp duty**. On small tickets these fixed-ish costs are a *large* % — which is exactly why overtrading a free setup still drains an account. The stack is free; the *activity* is not. Verify current brokerage and STT with your broker.

When should Priya pay? Only when a paid tool **removes a real bottleneck** — e.g. TradingView Plus once she genuinely needs multi-chart + real-time NSE data, or Chartink real-time once end-of-scan lists arrive too late. Paying for "tips", "sure-shot calls", or Telegram/algo signal groups is a red flag, not a tool.

How pros do it / common mistakes

- **Separate the four jobs.** Don't scan, chart, and execute in one cramped phone window — impulse follows. Terminal for execution, chart for analysis, scanner for ideas, NSE for truth.
- **Data hygiene.** Verify on the official NSE/BSE/SEBI source. Screenshots forwarded on WhatsApp are how people get trapped into pump-and-dumps.
- **Small watchlist, deep knowledge** beats 200 tickers you don't understand.
- **Alerts over screen-staring.** The pro sets levels and walks away; the amateur watches every tick and revenge-trades.

- **Beware "signal" services and unapproved algos.** Post SEBI's 01-Apr-2026 algo framework, open-API auto-trading bots are non-compliant; third-party vendors must tie up with a registered broker and carry an Algo-ID. Anyone selling you an "open API bot" is selling a compliance and money risk.
- **Know your true costs before you scale size.** Free software hides the real leak: STT + txn + GST + stamp duty stacked on frequent small trades.

Checklist / drill

Starter setup checklist:

- ☐ Broker account funded; **order types learned** (Market, Limit, SL, SL-M, GTT).
- ☐ Call-and-trade number + broker app saved as internet backup.
- ☐ TradingView account, connected to broker, one clean layout saved.
- ☐ 3 Chartink scans saved and tested end-of-day.
- ☐ nseindia.com bookmarked: option chain, F&O ban list, corporate actions.
- ☐ Watchlist trimmed to ≤ 25 names you understand.
- ☐ 5–10 alerts set on key levels.
- ☐ A **cost sheet** for your typical trade (brokerage + STT + txn + SEBI + GST + stamp).
- ☐ Two screens (ideal) or a disciplined single-screen layout.

Drill: For one week, place **zero** trades. Only: build the scans, set alerts, and each evening log which alerts fired and whether the setup was clean. You'll learn your tools *and* prove to yourself how many "opportunities" were noise — before a single rupee is at risk.

(All tools, plans, prices, and charges as of July 2026 — verify with each provider, NSE, and SEBI; they change.)